Imagine hiring a brilliant assistant who is hard-working and extremely effective. Would you hand over the keys to your house and car, and access to your bank account, to him on day one? That is the decision we are making with AI. Until recently, the worry was what AI might say: invent a fact, give bad advice. Today's AI is materially different, raising concerns on what AI might do. An agent can read your e-mail, access files, write code, spend money and act across systems, often without checking with you at every step.

Public debate oscillates between an imminent apocalypse and utopia. I find both too certain. AI is one of the greatest amplifiers of human capability we have ever created. It also amplifies systemic risk. The important question is not 'Should AI move faster or slower?', but how much power should we grant an AI for a specific task?

Agent risks

Much of our safety comes from something we normally dislike: friction. The home loan approval process that takes weeks. The bank manager who calls because a transaction looks unusual. The extra OTP. This friction creates a pause long enough for someone to catch a mistake or fraud.

Agents can remove that friction and often make fewer errors than us. Waymo's driverless cars have over 90 per cent fewer serious-injury crashes than human drivers on the same roads. That is why organisations are reimagining every workflow with AI. But agents also introduce systemic risks:

Scale: A careless employee could make one mistake. A faulty agent deployed across an organisation can repeat it thousands of times before anyone notices.

Speed: Work that once took days can happen in seconds. By the time a human sees the first wrong decision, thousands more may have followed.

Security: As AI agents become more useful, we are likely to provide them a lot more access and autonomy. This can introduce new security risks. A malicious instruction hidden in an e-mail or web page can persuade the authorised agent to misuse its legitimate access.

Ensuring safety

So, I would think about AI safety in a straightforward way. If we were to look at it as a graph, one axis would be how much power we give the AI, what it can access, how autonomously it can act, and the scale and scope of its actions. On the other is the strength of the safeguards: how well it has been tested, what limits constrain it, how closely it is monitored, and whether actions can be stopped or reversed.

The more power we give an agent, the stronger the safeguards must become. An AI that reminds me my electricity bill is due needs little supervision. If it can pay a small bill, I want limits and alerts. If it can move large sums or add beneficiaries, the standard should rise dramatically. The safety line should curve upward: as consequences rise, the error rate we tolerate must fall sharply.

We have two paths to correct an agent in the danger zone: give it less power or strengthen the safeguards. The latter retains the benefit. What does this mean in practice? First, AI must not police itself. Your UPI app does not rely on you remembering your payment limit; the software enforces it. Agents need deterministic guardrails: spending caps, limited permissions and specific approvals before consequential, irreversible actions.

Second, we must tier autonomy by consequence. 'Human in the loop' sounds reassuring, but if someone must approve 10,000 actions, that person will eventually click yes without thinking. The idea is to give agents freedom where actions are reversible and observable and raise the bar significantly where they are not.

Third, obedience and safety are not the same. AI can fail because it misunderstands a good user or even because it faithfully obeys a bad one. AI may sometimes also have to deny a user request because it may have some harmful consequences.

Fourth, we must make sure accountability remains in the human realm. Every consequential agent should have an identity, defined permissions, an audit trail and a human or institution accountable for what it does.

Accelerator and brake

This is not an argument for slowing down AI. We can drive cars fast because we know the brakes work. When we are confident about safety, AI adoption can accelerate. For India, overregulating AI would be a profound mistake. AI capability is especially valuable where experts are scarce (say, great teachers or expert radiologists) relative to our needs.

India has a headstart: we have already built digital public infrastructure that scaled identity and payments to hundreds of millions. We should be equally ambitious about building the rails for AI agents. The race is not between innovation and safety. We should increase intelligence as fast as we can, while increasing agency only as fast as our safeguards allow. ■

The author is Group CEO, Fractal Analytics

TAKEAWAYS

- The more power to the agent, stronger the safeguards must be—as consequences rise, error rates must fall sharply
- Accountability has to stay in the human realm. Every consequential agent must have an identity, defined permissions, an audit trail
- For India, overregulating AI will be a huge mistake. Where experts are scarce, AI capability will be invaluable